Section A: supported multiple-choice questions — 24 marks

Section B: questions based on ‘data’ — 46 marks

Total marks: 70

Note: students may be asked to carry out calculations and interpret or use data from graphs, tables or diagrams.

’Data’ represents passages of text which may include graphs, table(s) of information or diagrams.

2.3a Unit content

2.3.1a Marketing plan

Students should be encouraged to identify an appropriate marketing mix for new or existing products or services.

Content	What students need to know	Teacher guidance
Marketing objectives and strategy	Marketing objectives – based on market research, sales or profit forecasts for the product or service idea. Strategy – niche or mass marketing, benefits and limitations of these strategies.	Students could refer back to their sales and profit calculations in topic 1.3.6 to set marketing objectives for their business idea. They could apply the appropriate marketing strategy to their business idea. They may like to think how they could move from serving a niche market to serving a mass market.
Identification of marketing mix (4Ps – Product, Price, Promotion, Place)	Identification of a marketing mix which meets the needs of the market.	Students could consider the marketing mix that they would offer for their business idea and how they might improve the marketing mix for a current product.
	Product life cycle and Boston Matrix, product extension strategies, branding, purpose of trademarks and patents.	The implications for cash flow and marketing of the product should be considered in the light of its position in the product life cycle or Boston Matrix. Students could consider the position of different Cadbury products in their portfolio.
	How current social trends may affect the composition of the marketing mix: for example ethical trading, sourcing of sustainable materials, food miles labelling, reduction/recycling of packaging, environmental factors, online retailing, retailer purchasing power.	Use current social trends to examine how they might affect the marketing mix for a company, for example use of organic ingredients or inclusion of details of the carbon footprint of the product on packaging.
Price elasticity of demand	Effect on businesses of price changes, implications for pricing strategies, effects on total revenue.	Students should be able to calculate price elasticity of demand, interpret results of the calculation and consider what creates inelastic demand for products.

2.3.2a Managing the provision process

Students do not need to know job, batch or flow production methods, but some teachers may find that they use these terms when explaining capital versus labour intensive methods. Students should consider the most appropriate ways of producing a product or providing a service in a way which creates the least waste.

Content	What students need to know	Teacher guidance
Product or service design	Product or service design to meet identified market needs, design mix: function, aesthetics, economic manufacture.	Although many successful products stay the same, there are increasing changes in the type of materials and technology used in making the product which can create efficiencies.
Productivity and efficiency	Amount of capital and labour intensity dependent on: availability of finance, technology used, suitable labour, and production method. Apply also to a service sector context.	Students could be taught this topic in a factory or service context, for example setting up a café or using their new business idea. Students should realise that companies are constrained by the labour, technology or equipment they can afford.
Capacity utilisation	Implications of under- and over-utilisation of capacity, ways of improving capacity utilisation.	This topic is important as it allows students to consider how they could improve productivity. It could also be taught in the context of improving the throughput of customers in a café or restaurant.
Stock control	Analysis of stock control graphs, how stock control could be improved, problems of cash tied up in stock.	Invite a representative from your local supermarket to talk about how they handle stock control and wastage.
Lean management	Just in time (JIT) management of stock. Competitive advantage of short product development lead-times. Minimising waste of resources.	Students should consider the advantages and disadvantages of JIT. A visit to a car factory would be useful. Short product development lead-times could be taught in conjunction with product design.
Quality management techniques	Quality assurance versus quality control, Total Quality Management as part of company culture.	Students could consider how a culture of quality is created, for example through management expectations of continuous improvement (Kaizen), quality assurance processes, self checking. They should also consider why quality control inspections may still be used by some firms. Case study examples of different quality management techniques used by firms would be useful here.
Consumer protection legislation	Purpose of legislation – to ensure goods or services are fit for purpose, do not 'harm' the consumer, that information on packaging does not mislead, awareness of associated cost with implementation of legislation, need to deal with customer complaints.	Use a website such as www.businesslink.gov.uk for information on legislation. Students do not need to know the names or dates of Acts, just the purpose of consumer protection legislation.

2.3.3a How does a company budget efficiently?

This section concentrates on cash flow forecasting and the importance of maintaining regular cash flow for the survival of the business, especially when it is first set up. Reasons why businesses fail may be brought in at appropriate points throughout the teaching of this section and links should be made with other sections of the specification when appropriate.

Content	What students need to know	Teacher guidance
Budgets	Purpose of budgets, preparation using historical figures, zero based. Comparison with actual figures to provide elementary variance analysis.	Students should consider the difficulties of budgeting when there is no historical information to go on, problems inherent in using historical figures.
Sales forecast	Difficulties of estimation, identification of potential ways of increasing sales.	Invite a business owner or bank representative to give a talk on the subsequent financial topic areas to explain how crucial it is to manage sales and cash flow effectively for the survival of the business.
Cash flow forecasting	How to construct a simple cash flow forecast, use of a cash flow forecast to manage finances.	Simple cash flow exercises should be undertaken. Students should be able to interpret the cash flow forecast.
Managing working capital	Identification of cash shortfalls on a monthly basis, contingency finance planning such as an overdraft or loan, managing customer and supplier credit terms and payments, holding appropriate levels of stock.	
Differences between cash and profit	Introduction of extra cash into the business by the owner, timing of payments, purchase of fixed assets, importance of cash in the short run, profit in the long run.	Case study scenarios should be used to demonstrate that taking a profitable contract can mean a negative cash flow in the short run, due to cost of stock or labour to fulfill the deal. Similarly, that a business can't survive or continue to trade with negative cash flow unless they obtain additional finance. In the long run, retained profit can be used to invest in the business.
Why businesses fail	Poor management of cash flow, overestimation of sales, poor stock control, changing market conditions.	

2.3.4a Managing other people

This section is designed to get students to focus on human resource issues they may have to face if running or managing a business. They should consider how staff can be effectively managed.

Content	What students need to know	Teacher guidance
Different types of organisational structures	Tall, flat, chain of command, span of control, decentralisation and centralisation, how the organisational structure affects the ability to manage the business effectively.	Students may consider how they might organise the number of staff they would have to recruit to implement their business idea, how an organisational structure may affect communications between employer and employee.
Recruitment and training	Number of staff needed, internal or external recruitment, recruitment for positive attitude versus recruitment for skills, cost of recruitment and training, value of low labour turnover.	Students should consider the advantages and disadvantages of internal or external recruitment. Students should realise that some employers recruit for positive attitude and then train for skill. Low labour turnover should be linked to staff motivation.
Motivation of staff	Motivation theory – Taylor, Herzberg, Maslow. Financial incentives – piecework, bonus, profit share, performance related pay.	Don't spend too long on the motivation theorists. Criticisms of motivational theorists should be considered. Students should realise that financial incentives may not be possible for a new business.
How managers can get the best from staff	Delegation, consultation, empowerment, team working, flexible working, job enrichment, job rotation.	Case studies should be used to consider these techniques within a context – see www.times100.com
Reduction of labour costs	Use of a flexible workforce, staff dismissal and redundancy, voluntary labour turnover.	Benefits and disadvantages of a flexible workforce should be considered. A brief overview of the rights of staff when dismissed or made redundant is likely to promote discussion.

2.1b Unit description

About this unit

This unit considers the market in which the business may be operating, how the level of competition in the market and macroeconomic change is likely to affect it and how businesses can seek to minimise uncertainty through their actions.

2.2b Assessment information

Examination length: 1 hour 15 minutes

Section A: supported multiple-choice questions — 24 marks

Section B: questions based on 'data' — 46 marks

Total marks: 70

Note: students may be asked to do calculations and interpret or use data from graphs, tables or diagrams.

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2.3b Unit content

2.3.1b How businesses respond to their markets

Markets change all the time, responding to shifts in the conditions of demand and supply. This affects businesses and they need to be able to recognise and act upon these market signals. It may involve tactical and strategic changes.

Content	What students need to know	Teacher guidance
The nature of markets	Dynamic nature of markets.	Students should be encouraged to look at a wide range of markets and examples to illustrate their dynamic nature.
Changes in demand and supply	The profit signalling mechanism and the allocation of resources.	Students should look at the standard examples of changes in demand and supply and the impact of consumer sovereignty.
Changes in price	How changes in the conditions of demand and supply affect price and output, implications for business.	Practical examples are useful here and students should be encouraged to produce clear diagrams showing the effect of changes.
Price elasticity of demand	Effect on businesses of price changes, implications for pricing strategies, effects on total revenue. Determinants of Price Elasticity of Demand (PED) values.	Students should grasp the importance of PED when it comes to firms making pricing decisions.
Changes in income	Effect on businesses of income changes, implications for products and marketing. Determinants of Income Elasticity of Demand (YED) values.	Again, students need a practical grasp of how income changes and YED affect the decisions a firm might make.
The purpose of marketing in changing markets	Use of marketing to defend or gain market share – relevant marketing strategies, marketing ethics.	Is marketing the process of making a profit by identifying and satisfying customer requirements or of getting people to buy products that they may or may not need?

2.3.2b How does market structure affect business?

Students need to appreciate that markets vary in terms of size, complexity and the number of suppliers. This will affect the nature and extent of competition present in that market and this has an implication for the behaviour of businesses and ultimately affects the consumer.

Content	What students need to know	Teacher guidance
How does competition affect the market?	The effect of the degree of competition on market price and output. The effects of changes on the nature of competition – the development of e-commerce and online retailing, the 'long tail'.	Students may well be able to contribute their own experiences here as to how markets have changed, for example eBay, Amazon and iTunes. The growth of e-tailing has, and will have, a profound effect on business and consumers alike, as supply and consumer knowledge increase. The 'long tail' can be used to illustrate this. More information can be found on websites such as: http://www.thelongtail.com/ http://www.thelongtail.com/about.html http://en.wikipedia.org/wiki/The_Long_Tail
Different market structures	Monopoly, oligopoly, imperfect and perfect competition and the spectrum of competition.	Students should consider the key characteristics of the different market structures which influence the way firms in the various markets behave. They should consider possible barriers to entry and exit in the market, the likely effect on profit levels, pricing, promotion, company efficiency and consumer choice of products.

2.3.3b What makes firms effective?

Students need to consider the key factors which influence the effectiveness of businesses in their markets. It would be useful for students to consider businesses that operate in markets that exhibit rapid change and in markets that are slow to change.

Content	What students need to know	Teacher guidance
Different types of organisational structures	How the organisational structure, for example the chain of command, span of control, decentralisation and centralisation affect the ability to manage the business effectively.	Students may consider how an organisational structure may affect the performance of the business in that market.
How managers can get the best from staff	Delegation, consultation, empowerment, team working, flexible working, Total Quality Management as part of company culture.	Company case studies should be used to consider these techniques within a market context – see www.times100.com
Productivity and efficiency	Amount of capital and labour intensity used.	Students should realise that the amount of capital or labour intensity could affect the company's ability to deal with market change.
	Implications of under and over-utilisation of capacity, ways of improving capacity utilisation.	This topic is important as it allows students to consider how they could improve productivity.
Lean management	Just in time (JIT) management of stock. Competitive advantage of short product development lead-times. Minimising waste of resources to give competitive advantage.	Students should consider the advantages and disadvantages of JIT.

2.3.4b Businesses big and small

Businesses come in all shapes and sizes. Students need to understand the reasons behind this and to appreciate the relative advantages and disadvantages that may apply. The size of the business will also affect other stakeholders in both positive and negative ways. The standard assumption is that bigger is better but the majority of firms are classed as small.

Content	What students need to know	Teacher guidance
Reasons for bigger businesses	Increased market share, profitability, sales turnover and power.	It might be useful here to follow the changing nature of an industry over time, for example car manufacturing or food retailing, and use them to illustrate the theory. Both these industries started out with many small firms and evolved into oligopolies with considerable market power.
How increasing size affects costs	Economies of scale and falling average cost, implications for business and links to competitive advantage, Minimum Efficient Scale and diseconomies of scale.	
How size affects market power	Characteristics of monopoly/ monopsony power, effects of monopoly power on business and stakeholders, disadvantages and advantages.	
Small is beautiful	Why small businesses exist and flourish despite the lack of economies of scale, niche markets, micro marketing.	At the same time, small firms can still flourish by exploiting niche markets and developing e-tailing to access wider markets. There are many practical examples out there.

2.3.5b An uncertain future

Students need to appreciate that all business is dominated by uncertainty and risk. This section looks at the factors that cause this and what businesses can do to try and reduce it.

Content	What students need to know	Teacher guidance
Causes of uncertainty	Shock, macroeconomic change, exchange rate movements, government intervention.	Shock means any unusual events from the extreme, such as 9/11, war and natural disaster to the everyday, such as the response of a competitor. The other elements here are the result of macroeconomic change.
Why uncertainty is a problem	Effects of uncertainty on business planning and strategic decisions.	Students need to understand that all businesses want to minimise uncertainty and therefore risk.

Content	What students need to know	Teacher guidance
How businesses can try to reduce uncertainty	Use of macroeconomic indicators, planning, research and development (R&D), market orientation and market research.	Whilst the measures described here can do much to reduce uncertainty it is important to stress that indicators and/or market research hold many pitfalls for the unwary firm.

2.3.6b How does macroeconomic change affect business?

Students need to consider current macroeconomic change and the extent to which it may affect a business or businesses in a particular industry.

Content	What students need to know	Teacher guidance
What is the economic cycle?	Cycle of changes in growth and output of Gross Domestic Product, implications for business of stages of the economic cycle. Why some businesses are affected more than others by the economic cycle and in different ways. Real and nominal values.	Case studies make theory seem more accessible. Up-to-date statistics to illustrate trends can be accessed on websites such as: ■ http://www.statistics.gov.uk/ ■ http://www.hm-treasury.gov.uk/index.cfm ■ www.bized.ac.uk.
How does inflation affect us all?	Uncertainty, re-distribution of wealth, loss of competitiveness, skills shortages.	
What is unemployment and how does it affect us all?	Unemployment, costs to economy, opportunity cost, social cost.	The changing nature of employment involves not just changes in occupational trends but also changes in who works and the way we work. Students need to appreciate that economies are in a constant state of change and that the resultant structural changes have far reaching consequences for business. A look at how unemployment in the local area has changed over the last 50 years would be useful. Students should also consider how the nature of local businesses has changed. A search for 'structural change' on http://www.hm-treasury.gov.uk provides some useful material.
What is structural change?	The development of an economy over time, changing nature of employment and output patterns.	
What are the implications for business?	Responding and adapting to change, implications of change for the future, rise of the knowledge economy.	